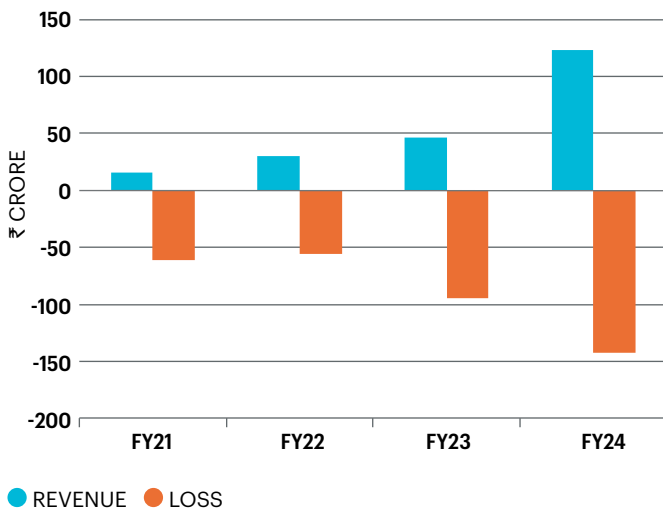


DOUBLING DOWN ON GROWTH

- Yulu has seen a jump in revenue in the past few years, rising from ₹16 crore in FY21 to ₹122 crore in FY24
- However, because of its focus on growth, expenses rose and losses widened as a result



NOTE CONSOLIDATED NUMBERS **SOURCE** COMPANY

revenue. It almost tripled from ₹46.58 crore in FY23 to ₹122.79 crore in FY24. However, with an increase in investment, losses too rose from ₹94.88 crore in FY23 to ₹142.83 crore in FY24.

INCREASING FLEET

Yulu's fleet is expanding rapidly, driven by the surging demand for quick deliveries. Gupta reveals that the company is in early discussions to develop a specialised bike tailored for food delivery riders. "We aim to reach 100,000 bikes by September 2025," says Gupta, noting that 45-50% of this fleet will cater to quick commerce, with the rest supporting food deliveries and other use cases.

To fuel this growth, the company is considering a Series C funding round. However, Tewari mentions that their financial reserves are currently stable, and debt funding might be an option in the near future. In January 2024, Yulu secured ₹25 crore in debt from Chennai-based NBFC Northern Arc Capital.

Yulu now boasts a fleet of 45,000 bikes across 12 cities, with more to follow. Though not a like-for-like comparison, electric bike rental company Zypp has revealed that it has 22,000 two-wheelers.

SAFETY FIRST

The increase in Yulu's fleet has brought with it some concerns over safety. Electric bikes fall under the low-speed category and don't require a licence or helmet by law. But Yulu has made safety a top priority. "We encourage our riders to wear helmets, and we even offer them the option to purchase helmets directly from us," Gupta notes. Additionally, the bikes have lower speed, which ensures the riders are always in control, Gupta adds. The company's smart electric vehicles (EVs) use Internet of Things (IoT) technology to communicate real-time data from the vehicle and battery to Yulu's servers.

Gupta says a Yulu rider who commits a lane violation is first notified of the offence through the app at the end of their ride. They are also asked to refrain from such behaviour in the future. "In cases of repeated non-compliance, the rider may face financial penalties, and in extreme cases, may even be barred from using our platform," Gupta says.

Yulu works with city governments and municipal authorities to launch fully integrated mobility solutions, says Pranav Pai, Founding Partner and Chief Investment Officer at zone4 Capital, an early backers of Yulu. "This has meant that they launch on day one as a fully integrated and regulated solution that is part of the multi-modal transportation network of every city. This is a unique approach in mobility globally, since most global mobility companies usually launch without government consultation and operate in the 'launch first, seek permission later' mindset," he adds.

With its revenues growing and Ebitda turning positive, the question on most analysts' minds is when Yulu will go public. Tewari says the company wants to achieve full profitability first before thinking of an IPO in a couple of years.

With its presence expanding, and its safety gear in place, Yulu may see fewer bumps ahead. **BT**

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